everyday lives whenever the opportunity presented itself; I would, of course, tailor the messaging to suit the type of audience.

On the Learning Curve

I was familiar with the theory of monetary policy before I entered the Reserve Bank. I also learnt a bit of the practice from the sidelines during my tenure as finance secretary. But doing monetary policy hands-on was an altogether different proposition—a fascinating, if also a challenging, learning experience.

For example, the open market operations by the Reserve Bank—buying and selling government securities in the open market so as to increase or reduce the money supply in the system—is an easy enough concept to understand at a theoretical level. But doing it in practice—determining the amount, the timing, the tenor of bonds to trade and indeed a host of intangible variables—is a complex decision that requires you to superimpose your judgement on the numbers thrown up by the models.

Central banks, as we know, set the policy interest rate in the expectation that this very short-term interest rate will influence the entire interest rate structure in the economy, which, in turn, impacts output and prices, through a process, technically termed ‘monetary policy transmission’. But monetary policy transmission does not happen automatically; central banks have to work at it by managing the amount of money in the system—what they refer to as liquidity management. OMOs are an important instrumentality for this.

At the heart of a decision on OMOs is an estimate of the money supply for the period ahead consistent with the Reserve Bank’s growth and inflation objectives, and an assessment of the short-term liquidity position of banks. In making these projections, the Reserve Bank has to contend with a host of variables, some predictable and some not. For example, money supply abruptly expands when the government pays out salaries and pensions at the end of each month because this entails money in the government’s bank account maintained with the Reserve Bank being